MKTG 6110 Final: Cheat Sheet (1/2)

★ SAMPLE-QUESTION TOPICS · 15 MC × 2 + 8 essays × 9

① KAHN MATRIX ★ sample MC

	Product	Experience
Add pleasure	**BRAND**	**EXPERIENTIAL**
Remove pain	**LOW PRICE**	**FRICTIONLESS**

- **Survive** = fair value (customers' minimum) in ALL 4 (RadioShack failed)
- **Lead** = best in 1 → **leverage** into a 2nd; just "good enough" in the other 2 (don't overspend)
- The bar rises: a leader's edge becomes the new minimum (2-day delivery)
- **Amazon: best Frictionless → leveraged to Low Price**, fair value Brand & Exp. · Walmart LP→F (Jet.com) · Warby/Zara B+LP · Costco/TJX LP+E (treasure hunt) · Luxury B+E · Sephora E+F
- Mid-tier dept stores (Macy's = Getchells) = "stuck in the middle"

▸ **e.g. Brand**: Nordstrom, Best Buy, Kroger, LV, Hermès, Lululemon, Zara, Warby Parker, Glossier · **Experiential**: Sephora, Apple Store, Eataly, Whole Foods, Trader Joe's, Stitch Fix, Duane Reade · **Low Price**: Walmart (EDLP), Costco, T.J.Maxx, Burlington · **Frictionless**: Amazon · Failed: RadioShack · Sim: Cadabra=Amazon, PriceMart=Walmart, AIM=Target, BestCo=Costco, Zephara=Sephora, KT Benny=JCPenney

② GOOD SEGMENTATION ★ sample MC

- **Homogeneous WITHIN + different BETWEEN** in response to marketing → east/west answer = "**it depends**". Trap: "heterogeneity *within*" is backwards.
- Also: identifiable, reachable, big enough, **actionable**. "Serving the average buyer serves no one." Firms **uncover** segments.
- Variables: geo · demo · psychographic · attitudinal (**benefits**) · behavioral (usage, CLV)
- Benefits are best but invisible → use visible correlates. Gender: stereotyping, alienates, people don't fit boxes, unfair.
- **Quidel**: Hopefuls $9.49, pregnancy aisle, ovulation ext. vs Fearfuls $6.99, birth-control aisle, STD tests

▸ **e.g.** Quidel (Hopefuls/Fearfuls) · Pivot or Perish 6 segments (Seg 1 online low-price → Cadabra; Seg 3 brand/experience → Zephara) · Lululemon: suburban women 30–40s → men, global · gender profiling critique

③ BRAND ARCHITECTURE ★ sample MC

Type	Example	Key trade-off
House of Brands	P&G, pharma, LVMH	**risk contained**, own segments · most costly
Endorsed	Loft by Ann Taylor → Loft	parent credibility · spillover risk
Sub-brand	Amazon Prime, AWS	keeps parent name · can dilute
Branded House	Virgin	**cheapest** · one failure hits all

- **Protect brands from a risky division → House of Brands.** Pharma: "if one drug harms people…"
- LVMH synergies: back office, ads, real estate, talent · Toyota → **Lexus** · Amazon = hybrid · Goals: strong brands, synergy, clarity, leverage

▸ **e.g.** P&G (Tide, Pampers, Gillette, Crest) · Unilever · pharma · LVMH (LV, Dior) · Loft by Ann Taylor · Amazon (Basics / Prime, AWS, Alexa / Audible / Zappos, Whole Foods, Twitch, Ring) · Virgin (airline, mobile, money) · Toyota→Lexus · Kia

④ EXTENSIONS & LUXURY ★ sample essay

- Why extend: ① cheaper (leverage equity) ② **move the brand** (Mountain Man → young drinkers)
- **Two-way test**: brand adds value to the extension AND the extension adds value back. Never extend a weak brand or weaken the original → otherwise use a **new brand**.
- **Horizontal** (new category, same price: Clorox wipes, Lulu men) vs **vertical** (BMW; going down hurts the top; Toyota→Lexus; Kia)
- **Luxury**: does it reinforce or dilute prestige/scarcity? Too accessible → loses **cachet → loses the premium**. Pierre Cardin ✘ vs Hermès/Gucci ✔. Long-term equity > short-term revenue.
- Stay fresh: Schweppes heritage · Pepsi music · Porsche gaming · LV × Supreme · silver bullet

▸ **e.g.** Clorox → wipes · Starbucks → bottled Frappuccino, ice cream · Lululemon women → men · BMW 760Li $160k vs 128i $31.5k · Mountain Man light beer · Pierre Cardin ✘ · Hermès, Gucci ✔ · Schweppes · Pepsi · Porsche · LV × Supreme · Amazon luxury (doubtful)

⑤ SUBSCRIPTION PERKS ★ sample essay

- Unintended: ① **margin erosion** ② **trained to expect discounts** ③ deal-seekers → **low incremental value** ④ **cannibalize full-price sales**
- CLV = m·r/(1.1−r): $100 @ 80% = $267; perks → $75 @ 85% = **$255 (worse)**; need ~86% retention to break even
- Kahn: loyal = less price-sensitive → "**I raise price**" (American Airlines). Subscriptions = 3-part tariff.
- Fix: tiers, non-price perks, measure incrementality. Costco ~92% renewal → 5.1×

▸ **e.g.** Amazon Prime · Costco (92.2% US/Can renewal, $1.33B fees/qtr) · American Airlines miles ("3 peanuts") · Netflix · newspapers · Dropbox/AI freemium · Dollar Diaper Club

⑥ MASS vs TWO SEGMENTS ★ sample essay (25% each)

- Mass: **cheaper, efficient media**, less tailored · Segments: **more relevant**, costlier, complex
- Depends on: **cost of differentiation** (check ROI) · **competitive intensity** (high → segment) · **brand equity** (strong like Coke → mass OK)
- Awareness-first (Coke, Bud; double jeopardy) vs passion-first niche (Lulu; cheaper with fragmented media)
- Limited budget: concentrate on the best-fit segment first, prove ROI, then add

▸ **e.g.** Coca-Cola, Budweiser (mass awareness) · Lululemon (niche → mass) · TV Guide (known, undifferentiated) · Quidel (2 segments) · Pringles (vague → kids/teens)

✍ ESSAY RECIPE (9 pts)

1. **Position** in sentence 1
2. The **trade-off** (short vs long term · cost vs relevance)
3. "**It depends on…**" (cost · competition · brand · customer)
4. A **course example**
5. **Recommend + risk**. Answer EVERY part asked.

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🎤 STRESSED IN CLASS → then everything else

⑦ MEASURING BRANDS 🎤

- **Customer-based**: awareness (recognition, recall, top-of-mind, latency) → associations (**conjoint**) → emotion (neuromarketing) → loyalty (purchases). **Price premium** = branded − unbranded price.
- **BAV**: Differentiation (margins), Relevance (trial), Esteem (loyalty), Knowledge. Strength = D+R; Stature = E+K.
- **Opposite models**: awareness first (Coke, Bud) vs **passion first** (BAV, Lululemon). Known but undifferentiated = weak (TV Guide); niche may not scale.
- **Interbrand**: brand earnings, discounted; strong brand → low rate → high value. Used to justify spend to the CFO, in M&A, in lawsuits. Coke $68B → Apple #1.

▸ **e.g.** Coke $68B → Apple $470.9B #1 · Nvidia +116% · Tesla −35% · perfume 95% vs utilities 0% · Lululemon (BAV) · TV Guide

⑧ PRICING BASICS 🎤

FLOOR cost — **— competition + company —** — **CEILING** EVC

- **Pool pill**: EVC $20 + $200 = $220+, but real ≈ **$10–20** (**fairness**: $0.50 chlorine; **rivals** undercut)
- Cost: markup (Costco 11%, Walmart 25%) or break-even (incl. fixed)
- **Fixed-heavy → LOWER price** ("cover the fixed": 1,000 @ $7 = $1,500; 750 = $0) · **variable-heavy → RAISE** (omakase)
- Competition: **can AND will** they match? Warby $95 vs Luxottica $300: no

▸ **e.g.** Raju's pool pill · Warby $95 vs Luxottica $300 · Costco 11% / Walmart 25% · Jesse's omakase · BeWood

⑨ PRICE DISCRIMINATION 🎤

- **1st**: a price per person (haggling: cars, art, B2B; control the sales force)
- **2nd**: self-select/quantity: bulk · **2-part** (razor+blades, HP ink, Keurig) · **3-part** (subscriptions)
- **3rd**: by segment: **skim** (Apple, fashion) vs **penetration** (freemium, AI) · **EDLP** + price-match vs **high-low** (loss leaders, cherry-pickers) · random (coupons) vs periodic (early bird) · student ID · good/better/best

▸ **e.g.** Used cars, art (1st) · razors, HP ink, Keurig, newspapers (2nd) · Apple, runway → T.J.Maxx, AI freemium, Walmart price-match, early bird, student ID, first class (3rd)

⑩ PLACE & CHANNELS 🎤

- **30–50%** of price in the channel; now the "favorite P" (differentiation). Breadth = # categories, depth = # choices.
- **Direct**: margin, control, **DATA** · hard to scale. **Indirect**: scale · **double marginalization**, channel conflict (car dealers; Tesla "not a car")
- **Nike DTC** 2020 → HOKA/On/NB won → 2024 rebuild wholesale. Retail failures = stores + inventory + **debt**.

▸ **e.g.** Nike DTC → lost to HOKA, On, New Balance · Tesla vs dealers · Amazon data · Sephora vs Macy's · Bonobos → Nordstrom · Kirkland · Apple, Lululemon

CLV (slides)

$$CLV = m \times r \div (1 + i - r) - AC$$

- Phone: AC $400; m $250; 1-yr BE 1.6M custs · 5 yrs $1,250 → churn $840 → discount **$664** (net $264)
- Avon: avg $0.87B vs segments **$1.89B** → averages mislead · CAC ≤ CLV · 80/20

▸ **e.g.** Mobile carrier · Avon-style seller · Costco · Diaper Club ($438) · Harrah's

⑨+ PRICE SENSITIVITY · DYNAMIC · SUBSCRIPTIONS 🎤

- Want **inelastic**. Less sensitive: no substitutes/necessity · brand = quality signal · **switching costs** · hard to compare · **3rd party pays** · **mental accounting** · **scarcity** (OK for luxury, PR risk at Walmart) · loyalty. More: **stockpiling**, easy comparison.
- **Bundle**: sensitive on main item, not peripherals (= loss leader logic); **end-of-aisle** hides substitutes
- **Dynamic** → 1st-degree; **fairness**: Uber ✔ (labeled from start, 2-sided: more drivers) vs Wendy's/Walmart ✘ · surge vs gouging
- Subs: replenish · curated box (revenue = full-size buys) · tiered. **Iyengar**: self-selection; frequency ↑, basket ↓, fades; **~25% unprofitable** → differentiated incentives

▸ **e.g.** pharma · Wells Fargo · insurance, biz class · Paris vs Philly · Hermès Birkin, Ferrari · Amazon comps · Uber, Wendy's · Harry's, Birchbox, Prime

- **Math = concepts only** (no calcs on exam): BECR = max OK cannibalization · Acuvue: doctors earn less → won't push (channel incentive = constraint)

STP, POSITIONING & FIRM (slides)

- 5Cs → STP → 4Ps. Positioning = **Target · POD · Frame of ref. · Reason to believe**
- **Pringles**: trial 25% → 7% (no repeat) → repositioned as a fun snack for kids vs all snacks. *Make what you can sell.*
- Mktg creates, Ops delivers, Finance captures: Rolls-Royce ✔ vs Peloton ✘

▸ **e.g.** Pringles → Kellogg's $2.7B · Apple Inc. (2007) · Rolls-Royce · Peloton · Lululemon 5Cs (tariffs, Mirror, Costco dupes)

JOURNEY, AI & SIMULATION (slides)

- Journey = web; find the **drop-off**. SEO → GEO: "known ≠ found"; Share of Model. Digital twins ≈0.2 correlation (ideas, not forecasts).
- **Boycotts**: Nike +31% · Goya +22% · Bud Light −28% (identity clash, substitutable, shelf loss)
- Sim: fair value 75% of leader · value = discounted cash flow · **ROIC > WACC** · debt ↑ WACC ↑ value ↓ · lead 2 + parity 2

▸ **e.g.** BOPAS · SmartEquip · Point11 · Columbia digital twins · Nike, Goya, Bud Light, Target, Tesla